

d. Checking Asset-Liability Match & Refinancing Dependence and History Creditability

Asset-Liability mismatch is a huge problem in banking and other debt-heavy industries. If there is no asset-liability match, then in spite of having assets, the company might default on short term borrowings.

Asset-Liability match means that the tenure of company's liabilities must match the tenure of company's assets. This means that company should not take lot of short term debt and invest in long term assets as well as should not take long term debt and invest in short term assets.



EXAMPLE

You have taken a loan for two years.



You should get the return from this use of funds in two years only. This ensures that you have capital to repay the liability two years down the line.